
POLAND
2008

1. Overview of the tax-benefit system

Unemployed persons receive benefits in a fixed amount for a period from 6 to 18 months. In cases provided for in the law (and in special cases after the loss of the unemployment benefit) they may receive social assistance benefits (income related) - facultative temporary benefits (5-6 months). Besides, social assistance plays a role of the “last resort benefit”. Housing allowances function outside the social assistance system and require fulfilment of income criterion. The income criterion also applies in the case of family and maternity benefits.

The tax system allows for joint taxation of spouses, and in the case of single parents – joint taxation with the child.

As concerns social benefits, only pension benefits (retirement and disability pensions) and unemployment benefits (as well as pre-retirement allowances and bridging benefits) are taxable.

1.1. Average worker wage (AW)

The 2008 AW level is PLN 33 711.¹

2. Unemployment insurance

2.1 Conditions for receipt

The right to unemployment benefit is granted to a registered unemployed person who (among others):

- is able and ready to take up employment on a full time basis, according to the working time rate applied in a given occupation or service,
- has reached the age of 18 years and has not reached the retirement age (60 years for women and 65 years for men),
- who do not owe or possess of an agricultural estate, with arable land exceeding the area of 2 conversion hectares,
- do not receive monthly income in the amount exceeding 50 percent of the minimum remuneration (excluding income from interest rates or income from savings on bank accounts),

¹ AW refers to the Average Wage estimated by the Centre for Tax Policy and Administration (www.oecd.org/ctp). For more information on methodology see Taxing Wages 2005-2006, OECD, 2007, part 5, sections 2 and 3.

- is not a recipient of permanent allowance or permanent compensatory allowance, guaranteed temporary allowance, training benefit, nursing benefit, supplement to family benefit on the basis of the social assistance legislation.

2.1.1 *Employment conditions*

The right to the benefit is granted to the unemployed person after the lapse of 7 days from a day of registration in an appropriate district (*powiat*) labour office, if there are no proposals of suitable employment, no referral to subsidized job, apprenticeship, on-the-job-training. The person during the period of 18 months preceding the day of registration should be employed for a period of at least 365 days or perform other profitable tasks and reach remuneration that equals to at least of the minimum remuneration and from which the contribution to the Labour Found had been paid.

The right to unemployment benefit shall not be granted if (among others):

- the unemployed refused without a justified reason a proposal of employment, training, on-the-job-training or subsidized work,
- within the period of 6 months preceding the registration, the employment contract has been terminated with notice or on a basis of an agreement with the employer unless the agreement of both parties had been caused by: bankruptcy or liquidation of the employer or by employment cut-offs for employer-related reasons or by the change of the place of residence,
- within the period of 6 months preceding the registration the employment contract has been terminated without the notice for the employee reasons.

There are no job-search conditions for becoming and remaining entitled to unemployment benefits apart from:

- being registered as unemployed,
- obligation to report to the district (*powiat*) labour office at designated dates to confirm readiness to take up employment and to receive information on employment and training opportunities,
- accepting job offers proposed by the district (*powiat*) labour office.

The entitlement to the unemployment benefit is deprived when the entitled person:

- has not reported to the district (*powiat*) labour office at a designated date and has not informed within 5 days on a justified reason for his/her absence, deprivation of the status of an unemployed shall be valid for the period of 3 months as of the designated date of reporting to the district (*powiat*) labour office
- has refused to undergo medical or psychological examination assessing the ability to work; deprivation of the status of an unemployed shall be valid for 3 months as of the date of refusal;
- has applied for deprivation of the status of unemployment.

There are possibilities to re-apply for benefits once they have expired, provided that the conditions concerning the benefit eligibility period (defined above) are fulfilled. According to district (*powiat*) labour office experience it is common that the unemployed re-apply for benefits as soon as they acquire the right to do it, but unfortunately there are no detailed data describing this process (there are data concerning the persons who were registered as unemployed for at least second time from 1990 - in June 2003 the number of such persons amounted to 61% of total number of persons registered as unemployed) .

2.1.2 *Contribution conditions*

Contribution to the Labour Found is paid by the employer. The contribution equals 2.45 percent of the basis for the social security contributions.

2.2 Calculation of benefit amount

2.2.1 *Calculation of gross benefit*

In 2008 unemployment benefits were subject to indexation by consumer prices growth index in previous year. The monthly level of unemployment benefit in recent years amounted to:

- From 1 September 2001 to 31 August 2002 – PLN 476.70.
- From 1 September 2002 to 31 August 2003 – PLN 498.20.
- From 1 September 2003 to 28 February 2004 – PLN 503,20.
- From 1 March 2004 to 31 May 2005 – PLN 504,20.
- From 1 June 2005 to 31 May 2006 – PLN 521,90.
- From 1 June 2006 to 31 May 2007 – PLN 532,90.
- From 1 June 2007 to 31 May 2008 – PLN 538,30
- From 1 June 2008 - 551,80 PLN (to 31 May 2009)

Additionally the benefits are adjusted according to the length of the unemployment benefit eligibility period:

- persons having less then 5 years of unemployment benefit eligibility period receive 80 per cent of benefit,
- persons having from 5 to 20 years of unemployment benefit eligibility period receive 100 per cent of benefit,
- persons having more then 20 years of unemployment benefit eligibility period receive 120 per cent of benefit.

2.2.2 *Income and earnings disregards*

The unemployed person entitled to the unemployment benefit cannot receive monthly income in the amount exceeding the 50 percent of the minimum gross remuneration (excluding income from interest rates or income from savings on bank accounts). From the 1st of January 2008 the average minimum gross remuneration equals to PLN 1126,00 per month (in 2007 the average minimum pay gross is PLN 936,00 per month).

2.3 *Tax treatment of benefit and interaction with other benefits*

Taxation rate is 19 per cent of gross benefit.

Yearly benefit = gross benefit – income tax – health insurance

Where:

income tax = (gross benefit * 19% - 586,85) – gross benefit * 7,75% - the income tax cannot be lower than 0, if the result of the deduction is negative number then it is assumed that income tax equals 0

health insurance = gross benefit * 9%

Please see conventions described in point 10.1.

2.4 *Benefit duration*

The right to the benefit is granted to the unemployed person after the lapse of 7 days from a day of registration in an appropriate district (*powiat*) labour office. The period of receiving the benefit is as follows:

- 6 months – in case of the unemployed who during the period of receiving the benefit, reside in the territory of competence of a district (*powiat*) labour office, if the unemployment rate in this territory on the 30th June of the year preceding the date of acquiring the right to benefit did not exceed 125% of the national average unemployment rate.
- 12 months - in case of the unemployed who during the period of receiving the benefit, reside in the territory of competence of a district (*powiat*) labour office, if the unemployment rate in this territory on the 30th June of the year preceding the date of acquiring the right to benefit exceeded 125% of the national average unemployment rate or in case of the unemployed at the age 50 or more who have at least 20 years of unemployment benefit eligibility period, **(note: for calculations, this is assumed to be the most general case).**
- 18 months - in case of the unemployed who during the period of receiving the benefit, reside in the territory of competence of a district (*powiat*) labour office, if the unemployment rate in this territory on the 30th June of the year preceding the date of acquiring the right to benefit exceeded twice the national average unemployment rate if simultaneously they have at least 20 years of unemployment benefit eligibility period or in case of the unemployed who have at least one dependent child at the age of 15 years or less and the spouse of the unemployed person is also unemployed and forfeited the right to benefit because of expiry of the a period of receiving benefit.

2.5 *Treatment of particular groups*

The Act on Employment Promotion and Labour Market Institutions defines six groups of people at the special situation on the labour market (changes in force from 26th of October 2007)

- young persons (aged 25 or less),
- long term unemployed (the unemployed spell exceeds 12 months within last 2 years) and women who did not take up employment after giving birth to a child,
- persons aged over 50,
- low-skilled unemployed, without professional experience or upper-secondary education,
- lonely parents with a children aged up to 18 years of age,
- unemployed who after imprisonment do not take up work,
- people with disabilities.

The unemployed who belong to these groups should receive either a job vacancy or other work possibility, an internship, on-the-job training, public work or subsidized work during the first 6 months of unemployment (or in case of long term unemployed – during the period of 6 months following the day of the termination of eligibility to unemployment benefit).

2.5.1 *Young persons*

The unemployed person aged up to 25 may receive a scholarship that equals 40 percent of the amount of unemployment benefit. The scholarship is granted for the period of training.

When referred to apprenticeship young unemployed person (up to 25 years or in case of high-school graduate up to 27 years of age within 12 months after graduation) receives a scholarship in amount of 140% of the unemployment benefit. The maximum period of apprenticeship is 12 months.

The low-skilled (from the 26th of October 2007) unemployed aged 25 or less who take up education in the secondary school for adults or who take up evening or extramural studies are granted scholarship amounting to 50 percent of the unemployment benefit. The period of receiving the scholarship equals to 12 months but it may be prolonged until graduation. Scholarships are means-tested (family income criterion within social assistance legislation). The loss of the status of unemployed or discontinuation of education the means also the loss of the eligibility to the scholarship.

2.5.2 Older workers

As of 1 August 2004 the responsibility for pre-retirement benefits and pre-retirement allowances (also in case of granting and payment of these benefits) was transferred from local labour offices to the Social Insurance Institution². The pre-retirement allowance can be granted to a person who had lost his/her job, who was registered as unemployed for at least 6 months and was receiving the unemployment benefit (for at least 6 months) and who:

- is at least 56 (women) or 61 (men) years old and has insurance record to receive an old-age pension of at least 20 or 25 years respectively who was employed for more than 6 months by the last employer and his employment contract was terminated due to liquidation of the employer or it's insolvency or;
- is at least 55 (women) or 60 (men) years old and has insurance record to receive an old-age pension of at least 30 or 35 years respectively who was employed for more than 6 months by the last employer and his employment contract was terminated due to difficulties of their employer;
- is at least 56 (women) or 61 (men) years old and has insurance record to receive an old-age pension of at least 20 or 25 years respectively and who runs his own company and paid social security contributions without any break for at least 24 months before he/she declared bankruptcy;
- has lost the entitlement to disability pension (that was previously granted for more than 5 years) and within 30 days registered in local PES as unemployed and who was at least 55 (women) or 60 (men) years old at the day of lost the entitlement and has insurance record to receive an old-age pension of at least respectively 20 or 25 years;
- has insurance record to receive an old-age pension of at least respectively 35 or 40 years and was employed for more than 6 months by the last employer and his/hers employment contract was terminated due to difficulties of their employer;
- has insurance record to receive an old-age pension of at least respectively 34 or 39 years and was employed for more than 6 months by the last employer and his/hers employment contract was terminated due to liquidation of the employer or it's insolvency.

The pre-retirement benefit is granted if he/she meets all of the following requirements:

- is still registered as the unemployed person,
- within the period of receiving the unemployment benefit did not refuse without justified reason a proposal of suitable employment or other gainful work or subsidised jobs and public works,
- fills an application for the pre-retirement benefit within 30 days from the day of issue by the district labour office a document certifying the 6-month period of receiving the unemployment benefit.

As from 1 August 2004 the benefit amounts to PLN 670 and will be subject to indexation. The benefit together with additional income may not exceed a half of average monthly remuneration from the previous

² Act of Law of 30th of April 2004 on pre-retirement benefits (Journal of Laws No. 120 item 1252).

year proclaimed by the President of the Central Statistical Office, and additional income may not be higher than 70% of this remuneration. As from the 1st of march 2006 the pre-retirement benefit amounts to PLN 711.54. . As from the 1st of march 2008 the pre-retirement benefit amounts to PLN 757.79 PLN.

/source: *Social Insurance in Poland - Information and facts*, Social Insurance Institution, Warsaw 2004/

2.5.3 *Unskilled workers*

The unskilled workers are defined as persons with educational attainment ISCED 1, ISCED 2 or ISCED 3C long (general upper-secondary schools – licea ogólnokształcące).

The low-skilled (from the 26th of October 2007) unemployed aged 25 or less who take up education in the secondary school for adults or who take up evening or extramural studies are granted scholarship amounting to 50 percent of the unemployment benefit for 12 months. The scholarship may be prolonged until graduation. Scholarships are means-tested (family income criterion within social assistance legislation). The loss of the status of unemployed or discontinuation of education means also the loss of the eligibility to the scholarship.

2.5.3 *Lone parents with children aged 18 years or less*

The act of employment promotion and labour market institutions does not concern intuitions responsible for childcare.

The costs of childcare (only in case of children aged 7 or less) when an unemployed takes up a work or is referred to on-the-job-training or other training may be reimbursed. The reimbursement amounts up to 50 percent of the unemployment benefit, and is means-tested (family income criterion within social assistance legislation). It is paid for the period of:

- 3 months if the unemployed takes up a job for at least 6 months,
- 6 months if the unemployed takes up a job for at least 12 months.

If the unemployed is referred to training or internship reimbursement can be obtained for the whole training period. Similarly the costs of care for other dependent members of the family may be reimbursed.

3. **Unemployment assistance**

None

4. **Social assistance**

4.1 *Conditions for receipt*

A. Benefits from social welfare system

General principles: to have insufficient means of living under income criteria (477 PLN single; 351 PLN family per capita) and to meet social criteria.

Income³ criteria per capita -monthly (in PLN)

From May 2004*

³ Net income

Single person family	461
At least two-persons	316
Family	
From October 2006	
*	
Single person family	477
At least two-persons	351
Family	

*income criteria in 2006 hasn't changed since May 2004;

Social criteria:

Main criteria for permanent benefit: full inability to work because of age or disability, permanent illness;

Main criteria for temporary benefit: poverty, orphanage, homelessness, unemployment;

Other reasons for social benefit support are, family violence, need to protect motherhood and large families, inability to provide for the care of children or a household, especially in a large or incomplete families, difficulties in adjustment to life of youth raised in care and education centers, difficulties in integration of refugees, difficulties in adjusting to life upon the release from penal institutions, alcohol and drug addiction, natural ecological disaster, crisis situation.

Simultaneously the right to permanent, temporary allowance belongs only to specific kinds of beneficiaries. In other cases there is discretionary periodic assistance (cash). It concerns purpose benefits (e.g. for the coverage of costs of purchases of food, medicines and treatment, fuel, clothing, daily necessities, minor apartment and damage repairs or funeral costs).

B. Benefits from Social Insurance Institution – social pension

Social pension are paid by the Social Insurance Institution⁴ to adult due to inability to work that occurred in childhood (before 18 years old) or during studies.

4.2 Calculation of benefit amount

4.2.1 Calculation of gross benefit

A. Benefits from social welfare system

Permanent benefits

Permanent benefits – the level stated in the Act on Social Assistance and the level= family income criterion per capita – family income per capita,

Maximum benefit: 477 PLN monthly, minimum benefit = 30 PLN

Temporary benefits

⁴ Since October 2004, social pension was excluded from social welfare system.

temporary benefits – the final level depends on discretionary administrative decision, might be less than maximum:

Maximum benefit = family income criterion per capita – family income per capita, but not more than 418 PLN monthly, minimum benefit = 20 PLN

In 2007 the minimum amounts of the temporary benefit was as follows:

- for a person keeping a single household – 35% of the difference between the criterion of income of a person keeping a single household and the income of that person
- for a family – 25% of the difference between the criterion of income of the family and the actual income of that family.

B. Benefits from Social Insurance Institution – social pension

The amount of social pension equals to 84% of minimum pension

Between October 2003 and February 2004 it was PLN 464,21 per month

Between March 2004 and February 2006 it was PLN 427,57 per month

From March 2006 the social pension was 501,87 PLN per month

From March 2008 the social pension is 534,48 PLN per month

4.2.2 *Income and earnings disregards*

No disregards. Income test on net income.

4.3 *Tax treatment of benefit*

Not taxable.

4.4 *Benefit duration*

It depends on kind of benefit and of person's social situation.

Permanent – unlimited (no time limit stated in administrative decision) , temporary – benefit duration fixed according to the beneficiary situation and after the case examination by the local social assistance centre.

4.5 *Treatment of particular groups*

4.5.1 *Young persons*

None

4.5.2 *Older workers*

None

5. Housing benefits

5.1 Conditions for receipt

Housing benefits are paid by local authorities to the low income households (the housing benefits are paid to the owners of the houses, flats and tenant.). (<http://www.case-research.eu/dyn/plik--23753723.pdf>) A single person must have gross income under 175 per cent of the minimum retirement pension and families must have gross income equal to less than 125 per cent of the minimum retirement pension per capita. If the income exceeds these limits and the housing benefit is higher than the surplus of the income criteria the benefit is paid (than the housing benefit equals the difference between the income surplus and the achievable housing benefit).

Housing benefits are outside the social assistance system.

Income criteria (monthly, PLN)

	June 2002 – February 2003	March 2003 – February 2004	March 2004 – December 2004
Single household (160% minimum pension)	852,70	884,20	900,13
Per capita for family (110% minimum pension)	586,20	607,89	618,84
	January 2005 – February 2006	March 2006 - February 2008	March 2008
Single household (175% minimum pension)	984,52	1045,56	1113,51
Per capita for family (125% minimum pension)	703,23	746,83	795,36

Income criteria from March 2006 and in 2007 (monthly, PLN)

	March 2006 – February 2008	From March 2008
Single household (175% minimum pension)	1045,60	1113,51
Per capita for family (125% minimum pension)	746,83	795,36

In 2007 the average housing benefit (for one flat) was equal to 147,2 PLN⁵. Since 01.09.2004 these benefits are in communes competence only.

5.2 Calculation of benefit amount

⁵ Data of the Polish Central Statistical Office

5.2.1 *Calculation of gross benefit*

Benefit is paid based on the difference between what is considered a reasonable payment for a family and actual housing costs. Housing costs cannot exceed a maximum amount, calculated based on the size of the family and the size of the flat.

The reasonable payment for a house is based on the size of the house, as follows:

- 35 m² – one person
- 40 m² – two people
- 45 m² – three people
- 55 m² – four people
- 65 m² – five people
- 70 m² – six people
- each additional person – 5 m²

The area of the house cannot exceed these limits by more than 30%. To calculate the expected housing costs, calculate the cost per square meter of the house, and then multiply this cost per metre by the expected house size. As an example, a single person in a 36m² house paying 360 per month would have a cost per metre of PLN 10. PLN 10 times the expected house size (35m²) gives us an expected housing cost of PLN 350.

The household has to cover the housing expenses up to:

- 15% of household income – in case of single person households
- 12% of household income – 2 – 4 person households
- 10% of household income – 5 and more person households

Thus if in the above example the individual earns PLN 1000 they would be expected to pay 15% of 1000, or PLN 150. The housing benefit would thus be the expected housing cost (PLN 350) minus their expected contribution (PLN 150), or PLN 200.

5.2.2 *Income and earnings disregards*

No disregards

5.3 *Tax treatment of benefit and interaction with other benefits*

Not taxable.

5.4 *Treatment of particular groups*

None.

6. Family benefits (no changes in 2007)

6.1 Conditions for receipt

The claimant must have a dependent child aged under 18, or under 21 if still in education, or 24 if disabled and still in education.

6.2 Calculation of benefit amount

6.2.1 Calculation of gross benefit

Family benefits – means tested (it will be changed in 2009):

Since 1.09.2006, the family allowance amount depends of the child age and accounts:

- PLN 48 monthly for a child until the child will reach 5 years of age,
- PLN 64 monthly for a child in the age of 5 up to 18 years,
- PLN 68 monthly for a child in the age of 18 up to 24 years.

Within family benefits there are following supplementary benefits available:

1. Birth supplement – PLN 1000 per child, one-off payment since 01.01.2006 (till 31.12.2005 PLN 500).
2. Child care supplement in the time of parental leave – PLN 400 – per month (for max 24 months).
3. Supplementary allowance for single parent that are not entitled to unemployment benefits anymore – PLN 400 – per month only for these, who received the right before 1.09.2005 (paid max 3 years for children aged up to 7).⁶
4. Supplementary allowance for single parents – PLN 170 – per child per month, to a maximum of PLN 340 per month. Lone parents with disabled children can receive PLN 250 per disabled child per month⁷
5. Supplementary allowance on education and rehabilitation of disabled children – PLN 60 per month per child aged up to 5 and PLN 80 – per child aged 6-24.
6. Supplementary allowance for raising child in large family (3 children and more) – for third and next child – 80PLN per child per month.

⁶ Since September 1st 2005 the benefit is no more permitted.

7 . It is not allowed to profit from both benefits described in the no 3&4 at the same time.

7. Supplementary allowance at beginning of the school – PLN 100 - one-off payment per each grade
8. Supplementary allowance on children that are taking up education in schools outside the area of living – PLN 90 – per child per month (if child lives in boarding-school), or 50 PLN – per child per month (if child needs to travel to school). The allowance is available for 10 months of school year from September to June

Within family benefits there are following supplementary benefits available that are **not** means tested (since 01.01.2006):

- Birth supplement – PLN 1000 per child, one-off payment.
- Possibility for extra birth supplement paying by the commune (gmina).

Other family benefits for single parents:

- Advance of maintenance⁸ for child single parents and in case the family net income per capita does not exceed PLN 725 (since October 2008) (is granted to a child until 18 years of age or 24 if is still studying at school or collage/university. Advance approximate:
 - PLN 170 (PLN 250 if the child is disabled) in the family are evaluator not more than 2 persons.
 - PLN 120 (PLN 170 if the child is disabled) in the family are evaluator 3 or more persons.

It is not allowed to combine the supplementary allowance for single parents and the advance of maintenance. The first one is dedicated to single parents if the second of the parents is unknown, is dead or the maintenance are not been ordered by the court.

In case the family net income per capita does not exceed 50% of the income criteria for the family benefit (equal PLN 291,50 in the case of family with disabled child) than a maximum advance of maintenance⁹ is growing to:

- PLN 300 (PLN 380 for disabled child), not more than PLN 600 (PLN 760) for one family.
- PLN 250 (PLN 300 for disable person), in case 3 and more authorized person in the family.
- **If the family income is lower than 351 PLN per capita (which is the income criteria for the social assistance for family households) the family can apply for temporary benefits. Than the level of temporary benefits equals 50% of the difference between the family income and the income criteria e.g. family income per capita is 200 PLN**

⁸ In the case if the one of the child parents does not pay the maintenance.

⁹ This is not included in the OECD model.

than the temporary benefits per capita is 50% of 151 PLN = 75,50 PLN. However the period of financial support via temporary benefits depends on the assessment of the individual households situation and the local governments financial support policy.

6.2.2 *Income and earnings disregards*

Benefit is granted for a period of 12 months (1.09 – 31.08), thus the right to benefit is tested once a year. From 1 May 2004 till 31 August 2005 – net income criteria per capita – PLN 504 (average monthly family net income per capita in 2002); from 1 September 2005 till 31 August 2006 – PLN 504 (net income per capita in 2004), in both periods in the case of families with disabled child – PLN 583.

6.3 *Tax treatment of benefit and interaction with other benefits*

Not taxable

6.4 *Treatment of particular groups*

No special rules.

7. **Childcare for pre-school children**

Nurseries are for taking care of children under 3 years old, nursery schools for children between 3 and 6 years old. Attending nursery schools (pre-primary education) is obligatory for 6-year-old children. Compulsory schooling starts at age of 7. Generally, in the case of nursery schools, local governments cover the cost of 5 hours of childcare a day (without board), for more hours and board parents have to pay on their own. The fees are established by local governments. Childcare in nurseries is fully covered by parents. All of this concerns only public institutions. In case of non-public institution, parents need to cover childcare for whole day. The fees are established by organizations that run childcare.

There is no information on the average fees. Data on childcare in 2006 (as of 31 December 2006)

Children staying in nurseries per 1000 children up to age 3 – 17 children

	Children in nurseries (as of 31 XII 2006)					
	total	At age of				
		0	1	2	3	4 and more
Total	25077	1501	7483	12234	3482	377
Public	24116	1457	7261	11756	3329	313
Non-public	961	44	222	478	153	64

„Basic data on health service and social welfare 2006”, p. 109.

	Children attending nursery schools in thous.						
	1995/96	2000/01	2003/04	2004/05	2005/06	2006/07	2007/08
Total	537,2	451,6	397,9	384,2	371,4	366,2	343,4

„Concise statistical yearbook of Poland 2005” p. 223, „Concise statistical yearbook of Poland 2007” p. 232, „Concise statistical yearbook of Poland 2008”, p. 230.

Age:	Children attending pre-primary education establishments per 1000 children						
	1995/96	2000/01	2003/04	2004/05	2005/06	2006/07	2007/08
3-6	453	500	523	537	556	584	594
3-5	272	327	357	382	410	446	473
6	973	972	977	981	976	974	949

„Concise statistical yearbook of Poland 2007” p. 251, „Concise statistical yearbook of Poland 2008”, p. 249.

Age:	Children attending nursery schools per 1000 children						
	1995/96	2000/01	2002/03	2003/04	2004/05	2005/06	2006/07
3-6	356	388	394	404	416	433	458
6	633	595	577	577	566	555	552

“Statistical yearbook of the Republic of Poland 2006” Chapter XI Education Tabl. 40 (278), “Statistical yearbook of the Republic of Poland 2007” Chapter XI Education Tabl. 40 (277).

Children in pre-primary education establishments (as of September 2006)				
Total	At age of (year of birth)			
	2 (2004)	3-5 (2001 -2003)	6 (2000)	7 and more (1999 or earlier)
862656	13094	474388	366193	7479

Children in nursery schools (as of September 2006)				
Total	At age of (year of birth)			
	2 (2004)	3-5 (2001 -2003)	6 (2000)	7 and more (1999 or earlier)
676428	12988	451029	207442	4179

“Education in the school year 2006/2007” p. 92

7.1 *Out-of-pocket childcare fees paid by parents*

Information on fees is only available at the local level (gmina level). Fees for nursery schools consist of monthly fee (fixed on gmina level and established by local government) and payment for feeding (depends on institutions) There are no statistics on regional levels.

Examples* of fees for rural and rural/urban gminas in 2005 (voivodship level):

Voivodship	Fee for nursery school in 2005
Dolnośląskie	135,60 PLN
Śląskie	70,40 PLN
Łódzkie	133,50 PLN
Wielkopolskie	83,60 PLN
Lubuskie	128,00 PLN
Zachodnio-pomorskie	177,00 PLN
Pomorskie	100,00 PLN
Kujawsko-pomorskie	59,00 PLN
Warmińsko-mazurskie	150,40 PLN
Podlaskie	147,00 PLN
Lubelskie	112,00 PLN
Podkarpackie	101,00 PLN
Małopolskie	172,90 PLN
Świętokrzyskie	107,00 PLN
Mazowieckie	170,00 PLN
Opolskie	97,45 PLN

Examples* of fees for urban gminas in 2005 (voivodship level):

Voivodship	Fee for nursery school in 2005
Dolnośląskie	248,00 PLN
Śląskie	186,34 PLN
Łódzkie	190,00 PLN
Wielkopolskie	250,00 PLN
Lubuskie	210,40 PLN
Zachodnio-pomorskie	278,00 PLN
Pomorskie	260,31 PLN
Kujawsko-pomorskie	191,40 PLN
Warmińsko-mazurskie	213,60 PLN
Podlaskie	185,00 PLN
Lubelskie	212,80 PLN
Podkarpackie	151,00 PLN
Małopolskie	211,88 PLN
Świętokrzyskie	169,00 PLN
Opolskie	206,24 PLN
Mazowieckie	238,90 PLN

- - examples are not representative of all nursery schools in specific voivodship, information was taken only from one unit (one for rural or rural/urban and one for urban gmina) of each voivodships

In the OECD calculations are used the fees for 2005, approximated with 2005-7 changes in CPI for urban gminas in the region of Mazowieckie, that includes the capital Warsaw and take into account information obtained from 32 childcare facilities out of 17229 ones that are in Poland.

7.2 Child-care benefits

See chapter 6

8. Employment-conditional benefits

None

9. Lone-parent benefits

See chapter 6

10. Tax system

10.1 Income tax rate schedule

Any individual resident in Poland or on a temporary stay longer than 183 days in a given tax year, is liable to tax on his/her worldwide income, irrespective of the source of that income.

10.1.1 Tax allowances and credits

Relief for work related expenses: standard deductions depend on the number of workplaces and on whether dwelling place and work place are the same or not.

Annual deductible amounts (in PLN)		
	one workplace	two/more workplaces
same as dwelling place	1335,00	2002,05
different from dwelling place	1668,72	2502,56

Source: www.mf.gov.pl

Basic relief: a non-refundable tax credit of PLN 586,85 is available for all taxpayers.

Relief for health insurance contributions: A tax credit is provided that almost equals health insurance contribution paid to the National Health Fund. The contribution is 9.0 per cent of the basis, tax relief is 7.75 per cent of the basis

In 2007, the new non refundable tax deduction was introduced for parents. Parents can deduct from their tax at most 1173,7 PLN in 2008) per each child. This applies to the income of 2008. This tax relief (tax deduction) is offered for parents paying income tax (farmers and some groups of small business owners are excluded). In the case of low income group e.g. unemployed persons (mother and/or father) receiving unemployed benefits are able to profit from the tax relief.

1. For unemployed parents the maximum yearly amount of the child relief is 307 PLN (apart of number of children in the family). The reason of the low rate is that the child relief in a Polish tax system is a deduction of the tax amount. The unemployed person with yearly income 7946 PLN has a low level of tax what makes very limited child relief at the same time.
2. For working parents with 'lower' wages e.g. receiving minimum wage the amount of child relief is limited. In the table 1. for one working parent the maximum child relief equals 471,19 PLN (apart of number of children in the family). The amount of child relief depends on the tax amount and in the case of yearly gross income 13512 PLN the yearly tax amount (after all other deductions) equals 471,19 PLN. Therefore there is no space for higher tax deduction also in the case of family with two or more children. The family can not gain of the maximum child relief because of the low income and simultaneously affects low tax amount and strictly limit the amount of child relief.

Table 1. Minimum wages and child relief

type of household	number of children	yearly minimum gross earnings in PLN	yearly maximum amount of tax (child) relief in PLN
lone parent	1	13.512	471,19
married couple	2		
	3		
	4		
married couple (working spouse) <i>both earnings on the level of minimum wage</i>	1	2*13512 27.024	942,39
	2		
	3		
	4		

The table 2. shows the link between gross earnings of parents and the amount of child relief (data 2008). E.g. lone parent with two children can reach the maximum amount of child relief only in the case of yearly earnings equal or higher than 32.835 PLN.

Table 2. Relation between the gross earnings and tax (child) relief

type of household	number of children	yearly minimum gross earnings in PLN	yearly maximum amount of tax (child) relief in PLN
lone parent	1	26.794	1173,70
	2	38.884	2347,40
	3	50.974	3521,10
	4	58.142	4694,80
married couple	1	26.794	1173,70
	2	38.884	2347,40
	3	50.975	3521,10
	4	58.141	4694,80
married couple (working spouse)	1	29.407	1173,70
	2	41.497	2347,40
	3	53.590	3521,10
	4	60.227	4694,80

10.1.2 The definition of taxable income

Gross income minus social security (in case of workers) and the above tax allowances. Gross income is the sum of gross earned income and all benefits, whether cash or in kind (with the exception of family benefits, childcare benefits and social assistance benefits).

10.1.3 The tax schedule

Tax rate in 2008

Tax base in PLN	Tax amount
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Over	Below	
-	44 490	19% of the tax base, less a basic tax credit of PLN 586,85
44 490	85 528	PLN 7.866,25 + 30% of surplus over PLN 44 490
85 528		PLN 20 177,65 + 40% of surplus over PLN 85 528

Source: www.mf.gov.pl

10.2 *Treatment of family income*

The tax unit is the individual. Couples have the option to file a joint tax return. Couples have the right to two tax credits. The same case applies to single parents, when children have no own income.

10.3 *Social security contribution schedule*

Since 1st January 1999 social insurance contributions are paid by employer and employee. Social insurance contribution paid by **employee** covers in 2008:

Scheme	In per cent of wages before taxation
Retirement	9.76
Disability (1.5) and survivor (0,67%-3,60%)	
Sickness	2.45

Note: the contribution rate for disability and survivor insurance until June 2007 was 6.50 per cent of wage before taxation..

Furthermore, health insurance contribution is paid by employees as well. Rate of contribution is 9.0 per cent of wage after deducting social insurance contributions. A portion of health insurance contributions (7.75% of wage after deducting social insurance contribution) are tax deductible.

10.4 *Treatment of particular group*

10.4.1 *Young persons*

10.4.2 *Older workers*

10.4.3 *Others if applicable*

11. Part-time work

There are no special rules for part-time workers.

12. Policy developments

12.1 *Policy changes introduced during the previous year*

- From 2008 onwards:
- Basic tax credit and tax credit for children were increased from PLN 572.54 to PLN 586.85 and from PLN 1145.08 to PLN 1173,70, respectively.
- Standard deductions for work-related expenses were increased.
- The first tax threshold was increased from PLN 43 405 to PLN 44 490.
- Disability insurance contribution paid by employees and employers were decreased from 3.5 per cent to 1.5 percent and from 6.5 per cent to 4.5 per cent, respectively.

12.2 *Policy changes announced*

No final law, but government proposed (it should be in force in 2009):

- Longer maternity leaves
- Paternity leave (not transferable) for fathers (2 weeks)
- New regulations in area of child care, including financing childcare facilities development and maintenance by employers (from employers social fund); waiver from paying Labour Fund and Employee Benefit Guarantee Fund for parents returning from maternity and child-care leave, increased pension contributions paid from public funds for parents staying on the child-care leave.